

Fundamentals of Organizing

Target Skill

organizing skill: the ability to establish orderly uses for resources within the management system

o b j e c t i v e s

To help build my *organizing skill*, when studying this chapter, I will attempt to acquire:

1. An understanding of the organizing function
2. An appreciation for the complexities of determining appropriate organizational structure
3. An understanding of the distinction between vertical and horizontal dimensioning
4. Insights into the advantages and disadvantages of division of labor
5. A working knowledge of the relationship between division of labor and coordination
6. An appreciation for the advantages and disadvantages associated with the different types of departmentalization
7. An understanding of span of management and the factors that influence its appropriateness
8. An understanding of scalar relationships

CHALLENGE CASE

SONY ORGANIZES FOR SUCCESS

SONY CORPORATION DESIGNS, MANUFACTURES, AND SELLS electronic equipment and devices to both consumers and companies. Although the electronics division accounts for a majority of its sales, Sony also develops, manufactures, and sells other entertainment products such as film, music, and videogame hardware and software. In addition, Sony also has a financial services division, which accounts for a majority of its income. Given the broad array of products and services Sony offers, Sony's executives have faced some difficulties in determining the company's optimal organizational structure, which has resulted in some financial problems that jeopardize the company's operations.

Sir Howard Stringer, Sony's chief executive officer, has implemented several organizational structure changes to address the problem. One of the main causes for Sony's recent lackluster performance is the company's electronics division. In the past, Sony has relied on this division to produce new, innovative products such as the Sony Walkman. Recently, however, Sony has faced more difficulties in producing innovative products.

To face these challenges in the electronics division, Stringer has promised to change elements of the division's structure. In particular, he has vowed to restructure the electronics division to allow more communication. Hopefully, increased communication will lead to more innovations and, consequently, new Sony products. This increased communication will also improve coordination between the different units. At one point, for example, three different divisions within Sony were developing their own digital music players.¹

Sony has also restructured its music business, which ranks third in U.S. market share, to improve the company's overall performance. Specifically, the company has reduced a large number of support positions in sales, manufacturing, and distribution.

According to Sony, many employees in these positions were performing similar activities. By eliminating some of this overlap, Sony can redirect money to develop new artists, which is a crucial activity in the music business.

Finally, Sony will continue to search for new ways to combine its music, film, and electronics businesses



■ Sony has implemented changes in its organizational structure to reduce financial problems that threatened to jeopardize its operations.

with its videogame business. Sony's videogame business, which develops and sells its PlayStation 3 (PS3) gaming system, represents Sony's largest profit driver. By developing linkages among Sony's businesses, the company may be better able to leverage its success in the videogame market. For example, when Sony first released its 3D update for its PS3, it

timed the introduction with its launch of 3D capable televisions.

Some questions remain as to whether Sony can rebound from its current downturn. According to Stringer, Sony's ability to restructure represents a key determinant of the company's future success. What organizing challenges do you see in Stringer's future?

EXPLORING YOUR MANAGEMENT SKILL

You can explore your level of organizing skill **before** studying the chapter by completing the exercise "Exploring Your Management Skill: Part 1" on page 266 and **after** studying this

chapter by completing the exercise "Exploring Your Management Skill: Part 2" on page 267.

THE ORGANIZING CHALLENGE

The Challenge Case illustrates many different organizing challenges that Stringer, the CEO, will have to meet if Sony is to be successful. The remaining material in this chapter explains organizing concepts and helps develop the corresponding organizing

skill that you will need to meet organizing challenges throughout your career. After studying chapter concepts, read the Challenge Case Summary at the end of the chapter to help you relate chapter content to meeting organizing challenges at Sony.

DEFINITIONS OF ORGANIZING AND ORGANIZING SKILL

Organizing is the process of establishing orderly uses for resources within the management system. Correspondingly, **organizing skill** is the ability to establish orderly uses for resources within the management system. This chapter focuses on organizing and helping you develop the target skill for this chapter, organizing skill.

Orderly uses of resources emphasize the attainment of management system objectives and assist managers not only in making objectives apparent but in clarifying which resources will be used to attain them.² A primary focus of organizing is determining what individual employees will do in an organization and how their individual efforts should best be combined to advance the attainment of organizational objectives.³ *Organization* refers to the result of the organizing process. Fayol presents a number of guidelines for effective organizations; these guidelines are displayed in Figure 11.1.

The Importance of Organizing

The organizing function is extremely important to the management system because it is the primary mechanism managers use to activate plans.⁴ Organizing creates and maintains relationships between all organizational resources by indicating which resources are to be used for specified activities and when, where, and how they are to be used. A thorough organizing effort helps managers minimize costly weaknesses, such as duplication of effort and idle organizational resources.

Some management theorists consider the organizing function so important that they advocate the creation of an organizing department within the management system. Typical responsibilities of this department would include three primary responsibilities.⁵ First, the department should periodically formulate reorganization plans that make the management system more effective and efficient. Companies, for example, typically restructure to devote more resources to profitable divisions and fewer resources to divisions losing money. Second, the department should foster and support an advantageous organizational climate within the management system. Finally, the department should develop plans to improve managerial skills to fit current management system needs.

In essence, each organizational resource represents an investment from which the management system must get a return. Appropriate organization of these resources increases the efficiency and effectiveness of their use. Henri Fayol developed 16 general guidelines for organizing resources:

1. Judiciously prepare and execute the operating plan.
2. Organize the human and material facets so that they are consistent with objectives, resources, and requirements of the concern.
3. Establish a single competent, energetic guiding authority (formal management structure).
4. Coordinate all activities and efforts.
5. Formulate clear, distinct, and precise decisions.
6. Arrange for efficient selection so that each department is headed by a competent, energetic manager, and all employees are placed where they can render the greatest service.
7. Define duties.
8. Encourage initiative and responsibility.
9. Offer fair and suitable rewards for services rendered.
10. Make use of sanctions against faults and errors.
11. Maintain discipline.
12. Ensure that individual interests are consistent with the general interests of the organization.
13. Recognize the unity of command.
14. Promote both material and human coordination.
15. Institute and effect controls.
16. Avoid regulations, red tape, and paperwork.

FIGURE 11.1
Organization: Fayol's guidelines

General Electric (GE) is known the world over for its ability to develop managerial talent. Although GE is famous for its products and services ranging from light bulbs to NBC television, many suggest that the key to GE's success is due primarily to the company's ability to identify and develop managers.⁶ ■

how managers do it

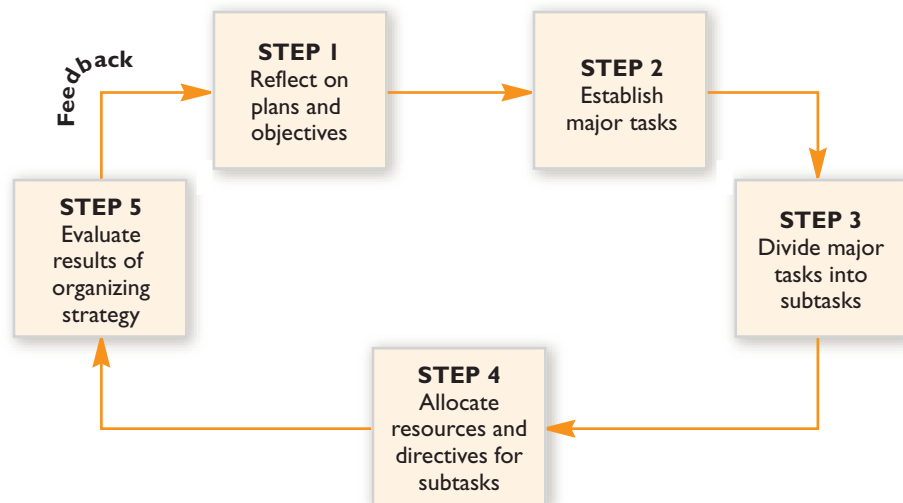
Developing Managers at General Electric

The Organizing Process

The five main steps of the organizing process are presented in Figure 11.2: reflect on plans and objectives, establish major tasks, divide major tasks into subtasks, allocate resources and directives for subtasks, and evaluate the results of implemented organizing strategy.⁷ As the figure implies, managers should continually repeat these steps. Through repetition, they obtain feedback that will help them improve the existing organization.⁸

The management of a restaurant can serve as an illustration of how the organizing process works. The first step the restaurant manager would take to initiate the organizing process would be to reflect on the restaurant's plans and objectives. Because planning involves determining how the restaurant will attain its objectives, and organizing involves determining how the restaurant's resources will be used to activate plans, the restaurant manager must start to organize by understanding planning.

The second and third steps of the organizing process focus on tasks to be performed within the management system. The manager must designate major tasks or jobs to be done within the restaurant. Two such tasks are serving customers and cooking food. Then the tasks must be divided into subtasks. For example, the manager might decide that serving customers includes the subtasks of taking orders and clearing tables.

**FIGURE 11.2**

The five main steps of the organizing process

The fourth organizing step is determining who will take orders, who will clear the tables, and what the details of the relationship between these individuals will be. The size of tables and how they are to be set are other factors to be considered at this point.

In the fifth step, evaluating the results of the implemented organizing strategy, the manager gathers feedback on how well the strategy is working. This feedback should furnish information that can be used to improve the existing organization. For example, the manager may find that a particular type of table is not large enough and that larger ones must be purchased if the restaurant is to attain its goals.

CLASSICAL ORGANIZING THEORY

Classical organizing theory comprises the cumulative insights of early management writers on how organizational resources can best be used to enhance goal attainment. The following sections discuss three major components of classical organizing theory: Weber's bureaucratic model, division of labor, and structure.

To organize any large project, like this study of the effect of chemicals on plant growth at Limburger Hof research station, managers must establish objectives (or in this case a hypothesis) and major tasks. Then they break tasks into smaller sub-tasks, allocate resources to each task, and finally evaluate the results.



Weber's Bureaucratic Model

The writer who probably had the most profound influence on classical organizing theory was Max Weber. Most agree that Weber's most notable contribution to classical organizing theory was his concept of bureaucracy.⁹ Specifically, Weber used the term **bureaucracy** to label the management system that includes three primary components: detailed procedures and rules, a clearly outlined organizational hierarchy, and impersonal relationships among organization members.

Although he firmly believed in the bureaucratic approach to organizing, he was concerned that managers were inclined to overemphasize the merits of a bureaucracy. He cautioned that a bureaucracy is not an end in itself, but rather a means to the end of management system goal attainment. The main criticism of Weber's bureaucracy model, as well as the concepts of other classical organizing theorists, is that they give short shrift to the human variable within organizations. In fact, it is recognized today that the bureaucratic approach without an appropriate emphasis on the human variable is almost certainly a formula for organizational failure.¹⁰

Another criticism of bureaucracy is that it may negatively influence organizational effectiveness.¹¹ For an example of bureaucracy negatively influencing organizational effectiveness, consider General Motors (GM). For years, GM was not only one of the world's largest companies but also a huge bureaucracy. Although over the years various GM chief executives tried to cut layers of management, the company continued to post losses and, by 2009, faced bankruptcy. Before the U.S. government would provide further aid, GM was ordered to make significant and deep organizational cuts. With a slimmed-down GM emerging from bankruptcy, company vice chairman Bob Lutz pledged that GM will maintain its focus on eliminating bureaucracy, saying "If you tell yourself you're done [cutting costs], that probably means you're complacent."¹² Even though appropriate organization can improve efficiency and effectiveness, this example illustrates the potential problems associated with inappropriate organization. ■

how managers do it

Eliminating Bureaucracy at General Motors

Division of Labor

A primary consideration of any organizing effort is how to divide labor. **Division of labor** is the assignment of various portions of a particular task among a number of organization members.¹³ Rather than one individual doing the entire job, several individuals perform different parts of it. Production is divided into a number of steps, with the responsibility for completing various steps assigned to specific individuals. The essence of division of labor is that individuals specialize in doing part of a task rather than the entire task.¹⁴

A commonly used illustration of division of labor is the automobile production line. Rather than one person assembling an entire car, specific portions of the car are assembled by various workers. Although most associate division of labor with automobiles, division of labor plays an important role in a variety of businesses. For example, division of labor plays an important role in the manufacturing of art in China. At some manufacturing facilities, several artists help to paint copies of the same picture. When individuals finish painting their particular sections, they pass the painting on to other members to finish their own sections.¹⁵ This approach allows Chinese galleries such as the JiYiYuang Gallery to sell paintings for lower prices. It is clear, then, that the division of labor influences a variety of organizations. The following sections discuss the advantages and disadvantages of division of labor, the relationship between division of labor and coordination, and Mary Parker Follett's coordination guidelines.

Advantages and Disadvantages of Division of Labor Even the peerless physicist Albert Einstein, famous for his independent theorizing, believed that division of labor could be advantageous in many undertakings.¹⁶ Several explanations have been offered for the usefulness of division of labor. First, when workers specialize in a particular task, their skill at performing that task tends to increase. Second, workers who have one job and one place in which to do it do not lose valuable time changing tools or locations. Third, when workers concentrate on performing only one job, they naturally try to make the job easier and more efficient. Lastly, division of labor creates a situation in which workers need only to know how to perform their part of the work task rather than the entire process for producing the end product. The task of understanding their work, therefore, does not become too burdensome.

Arguments have also been presented against the use of an extreme division of labor.¹⁷ Essentially, these arguments contend that division of labor focuses solely on efficiency and economic benefit and overlooks the human variable in organizations. Work that is extremely specialized tends to be boring and therefore will eventually cause production rates to go down as workers become resentful of being treated like machines. Clearly, managers need to find a reasonable balance between specialization and human motivation. Finding this balance is an ongoing challenge for organizations and an area of continued study.¹⁸

Division of Labor and Coordination In a division-of-labor situation, the importance of effective coordination of the different individuals doing portions of the task is obvious. Mooney has defined **coordination** as “the orderly arrangement of group effort to provide unity of action in the pursuit of a common purpose.” In essence, coordination is a means for achieving any and all organizational objectives.¹⁹ It involves encouraging the completion of individual portions of a task in a synchronized order that is appropriate for the overall task. Groups cannot maintain their productivity without coordination.²⁰ Part of the synchronized order of assembling an automobile, for example, is that seats are installed only after the floor has been installed; adhering to this order of installation is an example of coordination.

Establishing and maintaining coordination may require close supervision of employees, though managers should try to break away from the idea that coordination can only be achieved this way.²¹ They can, instead, establish and maintain coordination through bargaining, formulating a common purpose for the group, or improving on specific problem solutions so the group will know what to do when it encounters those problems. Each of these efforts is considered a specific management tool.

Follett’s Guidelines on Coordination Mary Parker Follett provided valuable advice on how managers can establish and maintain coordination within the organization. First, Follett said that coordination can be attained with the least difficulty through direct horizontal relationships and personal communications. In other words, when a coordination problem arises, peer discussion may be the best way to resolve it. Second, Follett suggested that coordination be a discussion topic throughout the planning process. In essence, managers should plan for coordination. Third, maintaining coordination is a continuing process and should be treated as such. Managers cannot assume that because their management system shows coordination today it will show coordination tomorrow.

Follett also noted that coordination can be achieved only through purposeful management action—it cannot be left to chance. Finally, she stressed the importance of the human element and advised that the communication process is an essential consideration in any attempt to encourage coordination. Primary considerations include employee skill levels, employee motivation levels, and the effectiveness of the human communication process used during coordination activities.²²

Structure

In any organizing effort, managers must choose an appropriate structure. **Structure** refers to the designated relationships among resources of the management system. Its purpose is to facilitate the use of each resource, individually and collectively, as the management system attempts to attain its objectives.²³ The two basic types of structure within management systems are formal and

informal structures. **Formal structure** is defined as the relationships among organizational resources as outlined by management; formal structure is represented primarily by the organization chart. In contrast, **informal structure** is defined as the patterns of relationships that develop because of the informal activities of organization members. It evolves naturally and tends to be molded by individual norms and values and social relationships. Essentially, an organization's informal structure is the system or network of interpersonal relationships that exists within, but is not usually identical to, the organization's formal structure.²⁴

Organization structure is represented primarily by means of a graphic illustration called an **organization chart**. Traditionally, an organization chart is constructed in pyramid form, with individuals toward the top of the pyramid having more authority and responsibility than those toward the bottom.²⁵ The relative positioning of individuals within boxes on the chart indicates broad working relationships, and lines between boxes designate formal lines of communication between individuals. In addition to specifying formal relationships within the firm, an organization chart can also communicate to outsiders the complexity of the organization. Structure involves two primary dimensions: the vertical dimension and the horizontal dimension. The following sections discuss each dimension in detail.²⁶

Vertical Dimensioning **Vertical dimensioning** refers to the extent to which an organization uses vertical levels to separate job responsibilities. Vertical dimensioning is directly related to the concept of the **scalar relationship**—that is, the chain of command. Every organization is built on the premise that the individual at the top possesses the most authority and that other individuals' authority is scaled downward according to their relative position on the organization chart. The lower a person's position on the organization chart, then, the less authority that person possesses.²⁷

The scalar relationship, or chain of command, is related to the unity of command. **Unity of command** is the management principle that recommends that an individual have only one boss. If too many bosses give orders, the result will probably be confusion, contradiction, and frustration—a sure recipe for ineffectiveness and inefficiency in an organization. Although the unity-of-command principle made its first appearance in management literature well over 75 years ago, it is still discussed today as a critical ingredient of successful organizations.²⁸

SPAN OF MANAGEMENT When examining the vertical dimensioning of an organization chart, it is important for managers to consider the influence of **span of management**—the number of individuals a manager supervises. The more individuals a manager supervises, the greater the span of management. Conversely, the fewer individuals a manager supervises, the smaller the span of management. The span of management has a significant effect on how well managers carry out their responsibilities. Span of management is also called *span of control*, *span of authority*, *span of supervision*, and *span of responsibility*.²⁹

The central concern of span of management is to determine how many individuals a manager can supervise effectively.³⁰ To use the organization's human resources effectively, managers should supervise as many individuals as they can best guide toward production quotas. If they are supervising too few people, however, they are wasting a portion of their productive capacity. If they are supervising too many, they are losing part of their effectiveness.

DESIGNING SPAN OF MANAGEMENT: A CONTINGENCY VIEWPOINT As reported by Harold Koontz, several important situational factors influence the appropriateness of the size of an individual's span of management:³¹

- **Similarity of functions**—the degree to which activities performed by supervised individuals are similar or dissimilar. As the similarity of subordinates' activities increases, the span of management appropriate for the situation widens. The converse is also generally true.
- **Geographic continuity**—the degree to which subordinates are physically separated. In general, the closer subordinates are physically, the more of them managers can supervise effectively.

These employees at a Bangalore, India call center all perform essentially the same customer-service function, which means the span of management for their department can be relatively wide.



- **Complexity of functions**—the degree to which workers' activities are difficult and involved. The more difficult and involved the activities are, the more difficult it is to manage a large number of individuals effectively. This is particularly true for research and development departments, which typically include numbers of engineers and scientists.³²
- **Coordination**—the amount of time managers must spend synchronizing the activities of their subordinates with the activities of other workers. The greater the amount of time that must be spent on such coordination, the smaller the span of management should be.
- **Planning**—the amount of time managers must spend developing management system objectives and plans and integrating them with the activities of their subordinates. The more time managers must spend on planning activities—whether those activities are repetitive and routine or infrequent but complex—the fewer individuals they can manage effectively.³³

Table 11.1 summarizes the factors that tend to increase and decrease the span of management.

GRAICUNAS AND SPAN OF MANAGEMENT Perhaps the best-known contribution to span-of-management literature was made by the management consultant V. A. Graicunas.³⁴ He developed a formula for determining the number of *possible* relationships between a manager and subordinates when the number of subordinates is known. **Graicunas's formula** is as follows:

$$C = n \left(\frac{2^n}{2} + n - 1 \right)$$

TABLE 11.1 Major Factors That Influence the Span of Management

Factor	Factor Has Tendency to Increase Span of Management When—	Factor Has Tendency to Decrease Span of Management When—
1. Similarity of functions	1. Subordinates have similar functions	1. Subordinates have different functions
2. Geographic contiguity	2. Subordinates are physically close	2. Subordinates are physically distant
3. Complexity of functions	3. Subordinates have simple tasks	3. Subordinates have complex tasks
4. Coordination	4. Work of subordinates needs little coordination	4. Work of subordinates needs much coordination
5. Planning	5. Manager spends little time planning	5. Manager spends much time planning

C is the total number of possible relationships between manager and subordinates, and n is the known number of subordinates. As the number of subordinates increases arithmetically, the number of possible relationships between the manager and those subordinates increases geometrically.

A number of criticisms have been leveled at Graicunas's work. Some have argued that he failed to take into account a manager's relationships outside the organization and that he considered only *potential* relationships rather than *actual* relationships. These criticisms have some validity, but the real significance of Graicunas's work lies outside them. His main contribution involved pointing out that span of management is an important consideration that can have a far-reaching impact on the organization.³⁵

HEIGHT OF ORGANIZATION CHART Span of management directly influences the height of an organization chart. Normally, the greater the height of the organization chart, the smaller the span of management, and the lower the height of the chart, the greater the span of management.³⁶ Organization charts with little height are usually referred to as *flat*, while those with much height are usually referred to as *tall*.³⁷

Figure 11.3 is a simple example of the relationship between organization chart height and span of management. Organization chart A has a span of management of six, and organization chart B has a span of management of two. As a result, chart A is flatter than chart B. Note that both charts have the same number of individuals at the lowest level. The larger span of management in A is reduced in B merely by adding a level to B's organization chart.

An organization's structure should be built from top to bottom to ensure that appropriate spans of management are achieved at all levels. Increasing spans of management merely to eliminate certain management positions and thereby reduce salary expenses may prove to be a shortsighted move. Increasing spans of management to achieve such objectives as speeding up organizational decision making and building a more flexible organization is more likely to help the organization achieve success in the long run.³⁸ A survey of organization charts of the 1990s reveals that top managers were creating flatter organizational structures than top managers used in the 1980s. Overall, managers seem to be using flatter organizational structures now than in the past.

One company that has derived benefits from a flatter organizational structure is steel manufacturer Nucor Corporation. In recent years, Nucor increased its layers of management, which resulted in increased employee costs. In an effort to decrease these costs and improve efficiencies, the company drastically reduced its layers of management. Although some of its competitors had as many as 30 layers of management, Nucor reduced its structure to only four. This reduction in layers of management reduced costs, but has also increased satisfaction among employees at lower levels now that they are less removed from the top layer of the organization.³⁹

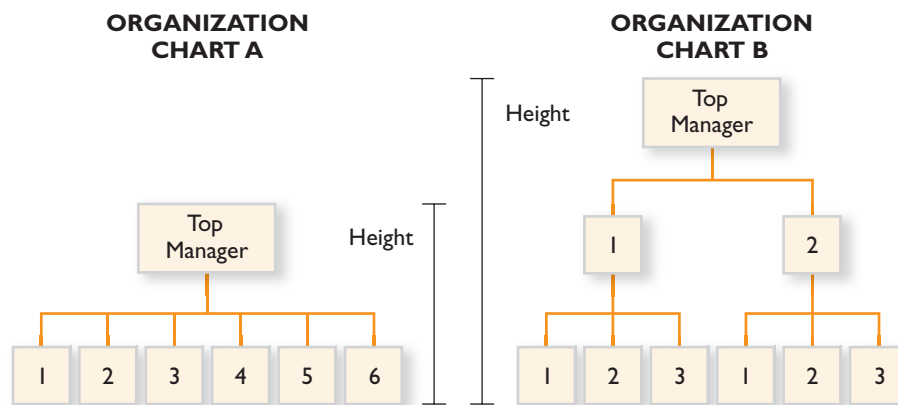


FIGURE 11.3
Relationship between organization chart height and span of management

Horizontal Dimensioning The **horizontal dimensioning** of an organization refers to the extent to which firms use lateral subdivisions or specialties within an organization. Overall, to build organizations horizontally, organizations establish departments. A **department** is a unique group of resources established by management to perform some organizational task. **Departmentalizing** is the process of establishing departments within the management system. Typically, these departments are based on, or contingent on, such situational factors as the work functions being performed, the product or service being offered, the territory being covered, and the customer being targeted.

The following sections highlight several different ways in which managers may departmentalize their organizations. In particular, the following illustrate how Sony, the company highlighted in the Challenge Case, might employ the various departmental structures discussed. Table 11.2 summarizes the major advantages and disadvantages associated with each type of departmentalization.

DEPARTMENTS BASED ON FUNCTION Perhaps the most widely used basis for establishing departments within the formal structure is the type of *work functions* (activities) being performed within the management system.⁴⁰ Functions are typically divided into the major categories of marketing, production, and finance. Figure 11.4 is an organization chart showing structure based primarily on function for Sony.

TABLE 11.2 Advantages and Disadvantages of Departmentalization Modes

Departmentalization	Advantages	Disadvantages
Functional	• Power of functional heads promotes consistency (i.e., consistent marketing messages) • Relatively easy to assign blame or credit for the performance of a function (i.e., the performance of the company's marketing program)	• May prove difficult to coordinate between various functions • Difficult to assign credit or blame when a product performs well or poorly
Product	• Allows managers to focus on the products sold by the company • Relatively easy to assign credit or blame on the performance of a product	• Focus on product may force managers to miss differences in customers or geographic regions • May be difficult to coordinate across products
Geographic	• Managers can focus on the various regions (and their differences) served by the company • Allows firms to develop human resources by rotating managers across different regions	• May prove difficult to coordinate between various regions • May prove difficult to assign credit or blame based on the performance of a particular product
Customer	• Allows managers to focus on and cater to the most important customers • Relatively easy to assign blame or credit regarding customer relationships	• May prove difficult to coordinate across various customers • May introduce complexities as customers span different products and geographic areas
Matrix	• Allows firm to pool human resources for both short-term and long-term projects • Allows firm to maintain flexibility over time	• Difficult for employees to understand power structure within the firm • Difficult for employees to prioritize responsibilities based on multiple authority figures

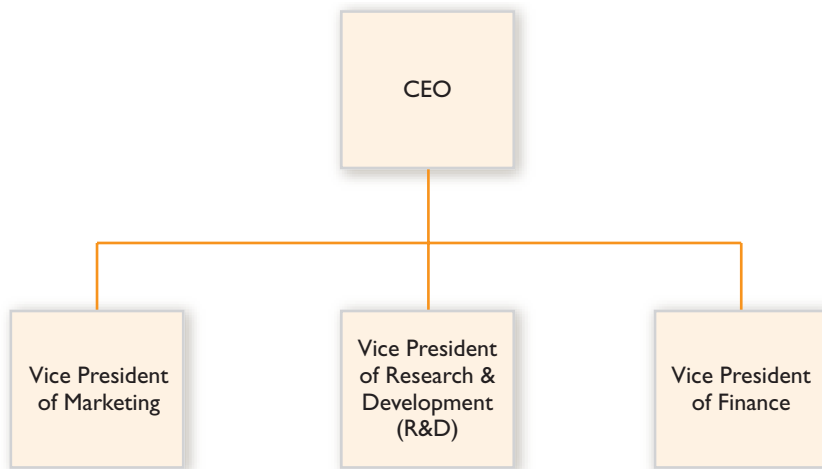


FIGURE 11.4
Departments by function
at Sony

Functional departmentalizing brings with it both advantages and disadvantages. Perhaps the primary advantage of functional departmentalizing is the control conferred to the various functional heads. The vice president of marketing for Sony, for example, is able to control and coordinate the marketing plan for all of the organization's products, geographic regions, and customers. This structure allows for consistent marketing messages throughout the company. At the same time, however, the marketing plan emanating from such a structure may not be differentiated enough to suit the needs of Sony's diverse products, geographic regions, and customers. In other words, this structure may implicitly impose functional standardization that may not optimize the needs of the organization's various products and services.

DEPARTMENTS BASED ON PRODUCT OR SERVICE Organization structure based primarily on *product or service* departmentalizes resources according to the products or services being offered. As more and more products are offered by a company, it becomes increasingly difficult for management to coordinate activities across the organization. Organizing according to product or service permits the logical grouping of resources necessary to produce and market each product or service. Figure 11.5 is an organization chart for Sony showing structure based primarily on product.

Product or service departmentalizing also has both advantages and disadvantages. One of the primary advantages is the ability to focus the organization's efforts on each of the firm's products or services. With this structure, for example, the vice president of electronics for Sony has the power and authority to control all aspects of the electronics business. Moreover, this type of structure directly associates responsibility for each of the firm's products. If the electronics

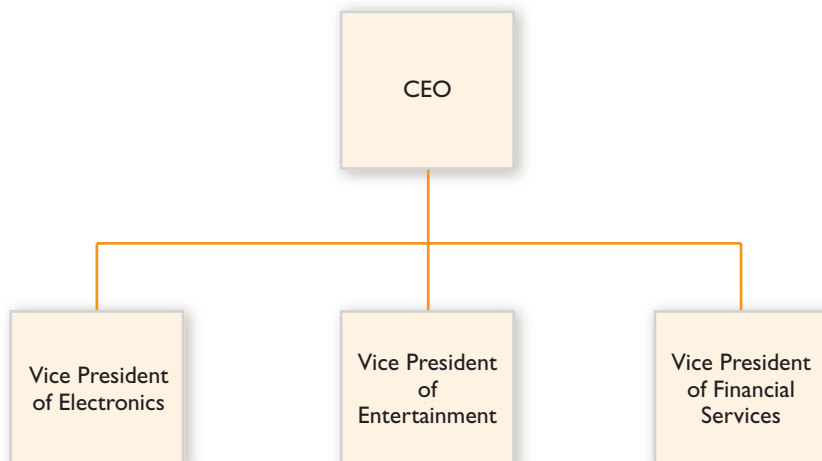


FIGURE 11.5
Departments by product at Sony

Most hospitals are organized into departments based on the services they provide, such as radiology, surgery, or obstetrics. This doctor at Coney Island Hospital in New York works in the emergency room, a critical department in most medical facilities.



division does not perform well, for example, it is relatively easy for Sony's CEO to determine responsibility for the poor performance.

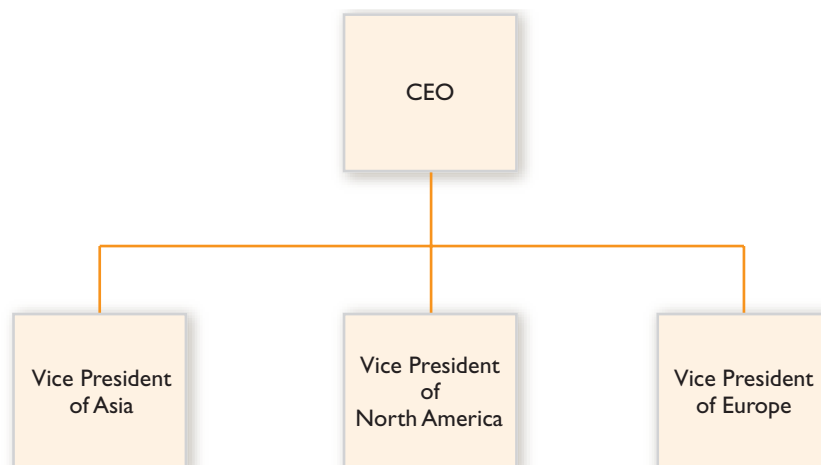
One of the primary disadvantages of this structure, though, is that the different units may result in some duplication of efforts, which may lead to higher costs. Continuing the example of Sony, the managers of the electronics division and the music division may both request more capital for marketing expenditures. Moreover, they may both create marketing positions within their units to aid in the marketing efforts. Taken together, these types of requests may strain the organization's resources.

DEPARTMENTS BASED ON GEOGRAPHY Structure based primarily on *territory* departmentalizes according to the places where the work is being done or the geographic markets on which the management system is focusing. The physical distances can range from quite short (between two points in the same city) to quite long (between two points in the same state, in different states, or even in different countries).⁴¹ As market areas and work locations expand, the physical distances between places can make the management task extremely cumbersome. To minimize this problem, resources can be departmentalized according to territory. Figure 11.6 is an organization chart for Sony based primarily on territory.

Several advantages and disadvantages are associated with geographic departmentalizing. One of the primary advantages of this structure is that it helps the organization focus equally on the

FIGURE 11.6

Departments by geography at Sony



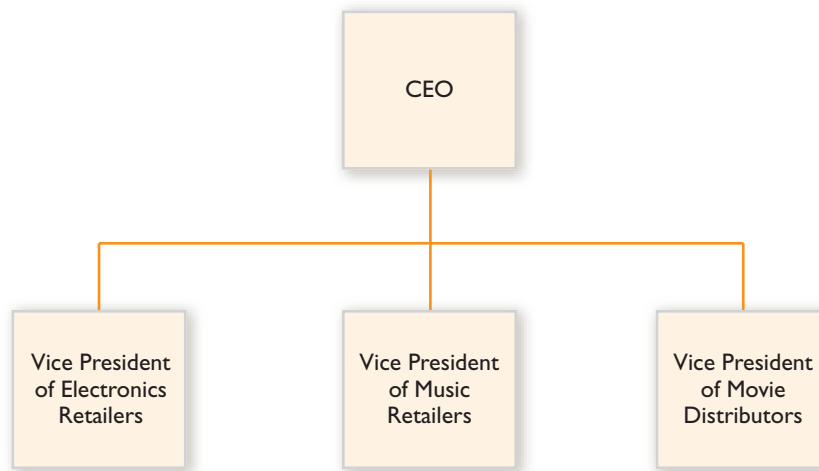


FIGURE 11.7
Departments by customer
at Sony

organization's various geographic locations. For a company such as Sony, for example, the vice president of North America is in charge of operations in North America, and the vice president of Asia is in charge of operations in Asia. The organization defines clearly the individuals responsible for these various regions.

At the same time, however, this type of departmentalizing also brings with it disadvantages. One of the main disadvantages, for example, is the lack of focus on products and services. In this example, the vice president for North America is responsible for selling movies, electronics, and music in North America. At the same time, the vice president of Asia is responsible for selling these same products in Asia; no single manager is responsible for the performance of movies, electronics, or music. Instead, the responsibility is shared among various divisional vice presidents; this dispersion of responsibility may produce coordination problems.

DEPARTMENTS BASED ON CUSTOMER Structure based primarily on the *customer* establishes departments in response to the organization's major customers. This structure, of course, assumes that major customers can be identified and divided into logical categories. Figure 11.7 is an organization chart for Sony based primarily on customers. Sony obviously can clearly identify its customers and divide them into logical categories.

Consider the new organizational structure created at Salt Lake City-based *EnergySolutions*, a firm in the nuclear energy industry. Formerly, the company consisted of four operating groups, organized by function and reporting to a Chief Operating Officer (COO). Reorganizing as three customer-focused groups has permitted the company to better integrate its service offerings for customers—and eliminate the role of COO.⁴² ■

how managers do it

Restructuring at *EnergySolutions*

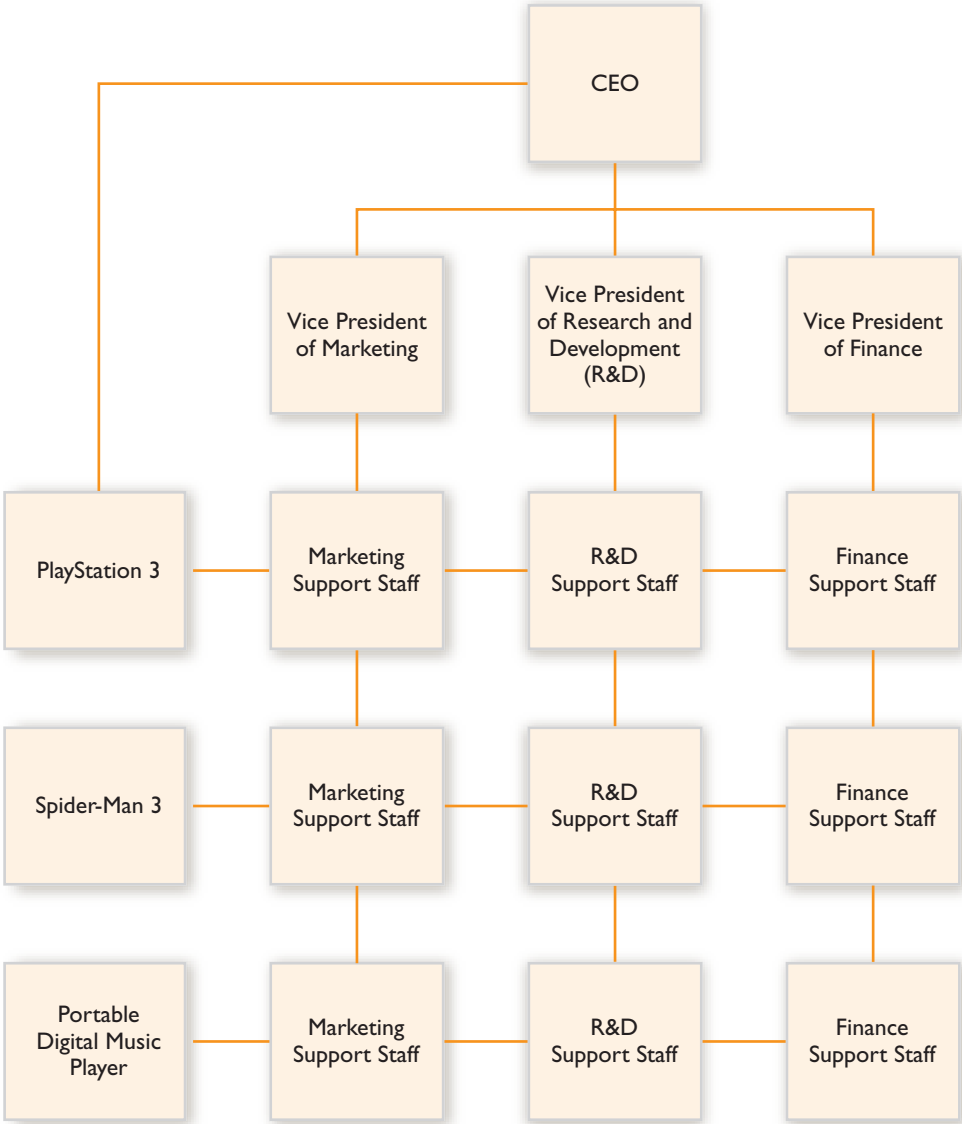
Like the previously discussed organizational structures, customer departmentalization has both advantages and disadvantages. One of the primary advantages of customer departmentalization is that the firm focuses explicitly on its customers. Sony, for example, could follow this structure and include a vice president for each of its largest customers. This structure increases the

likelihood that Sony will maintain its focus on its most important sources of sales. At the same time, however, this structure may also create some redundancies and increased costs. For example, the vice presidents may require their own marketing departments, which increases the likelihood for duplicated efforts.

DEPARTMENTS BY MATRIX The previous sections discussed several different types of departmentalizing; the potential advantages and disadvantages associated with each type were highlighted. These potential disadvantages have in part driven research examining “postbureaucratic” forms of organization.⁴³ These various organizational forms have arisen as a way to circumvent the possible disadvantages of the previously mentioned types of departmentalizing.

One of the most popular examples of postbureaucratic organizational forms is a matrix structure. The matrix structure is best understood by first visualizing a more traditional form of organization structure. Figure 11.4, for example, shows a more traditional organizational form for Sony departmentalized by function. Figure 11.8 adds a series of projects (PlayStation 3, Spider-Man 3, and Portable Digital Music Player) and a manager for each project to the original organization structure to form a matrix organization for Sony. Essentially, a matrix organization is one in which a project manager(s) borrows workers from various parts of the

FIGURE 11.8
Matrix departments at Sony

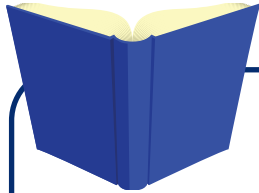


organization to complete some specific project.⁴⁴ For this reason, matrix organizations are also called *project organizations*. The project itself may be either long term or short term, and once finished, the employees borrowed to complete it return to their original jobs. Within a matrix structure, the workers are responsible for their original activities along with project activities. Because of the importance of matrix structure projects, project managers generally report directly to the company CEO.

As with other types of departmentalizing, departmentalizing by matrix has both advantages and disadvantages. Perhaps the chief advantage of the matrix structure is that it allows the organization to focus on various projects simultaneously. For example, the matrix structure in Figure 11.8 allows Sony to focus on PlayStation 3, Spider-Man 3, and the Portable Digital Music Player at the same time.

As with any organization structure, the matrix structure also has disadvantages. For example, the matrix structure can be confusing, and employees may not be able to effectively cope with two bosses. In the Sony example, assume that the PlayStation 3 project manager and the vice president of marketing both ask the same employee to complete different tasks. Which task should the employee complete first? Issues such as these can make matrix structure confusing.

Forces Influencing Formal Structure According to Shetty and Carlisle, the formal structure of a management system is continually evolving. Four primary forces influence this evolution: forces in the manager, forces in the task, forces in the environment, and forces in the



class discussion highlight

RESEARCH FOR DEVELOPING ORGANIZING SKILL

Does Structure Help Firms Satisfy Customers?

The preceding information focused on formally establishing organization structure. Scholars have long debated whether formal organizational structures always lead to better firm performance. To examine this issue, researchers distinguish between mechanistic and organic organizational structures. A **mechanistic structure** is a formal organizational structure such as those discussed in this chapter, and an **organic structure** is less formal and represents loosely coupled networks of workers. Some researchers suggest that mechanistic structures are better suited for some organizations, but organic structures are better for other organizations.

A study by Huang, Kristal, and Schroeder examined this issue in detail by investigating how organizational structures help firms compete. Specifically, these researchers examined which

type of organizational structure is best suited for firms engaging in mass customization, which is the ability to create customized products in an efficient manner. Dell, for example, mass customizes its products by allowing customers to alter the specifications of computers that they order from the company.

Mass customization is notoriously difficult to implement. The authors studied 238 mid- to large-sized manufacturing plants in eight countries to better understand how mass customization strategies succeed. Which type of organizational structure do you think is best for firms producing mass customized products: a more formal mechanistic structure or a less formal organic structure? Why?

Source: This feature is based on: Xiaowen Huang, Mehment Kristal, and Roger Schroeder. "The impact of organizational structure on mass customization capability: A contingency view." *Production and Operations Management*, in press.

subordinates.⁴⁵ The evolution of a particular organization is actually the result of a complex and dynamic interaction among these forces.

Forces in the manager are the unique way in which a manager perceives organizational problems.⁴⁶ Naturally, background, knowledge, experience, and values influence the manager's perception of what the organization's formal structure should be or how it should be changed. In the same way, similar forces influence the employee and play a key role in how he or she views work.⁴⁷

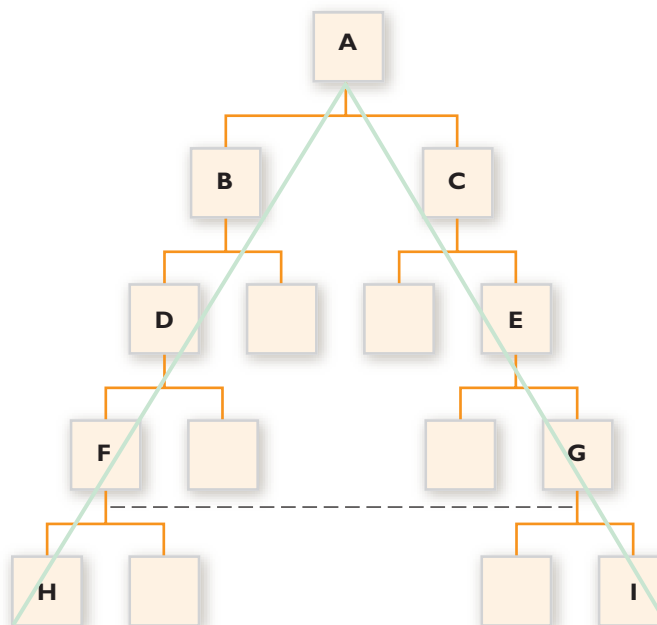
Forces in the task include the degree of technology involved in performing the task and the task's complexity. As task activities change, a force is created to change the existing organization. Forces in the environment include the customers and suppliers of the management system, along with existing political and social structures. Forces in the subordinates include the needs and skill levels of subordinates. Obviously, as the environment and subordinates change, forces are created simultaneously to change the organization.

Fayol's Advice on Using Formal Structure The preceding discussion emphasized how to establish organization structure and related chain of command. Should a manager always adhere to established organization structure and related chain of command? Fayol has indicated that strict adherence to a particular chain of command is not always advisable.⁴⁸ Figure 11.9 explains his rationale. If individual F needs information from individual G and follows the concept of chain of command, F has to go through individuals D, B, A, C, and E before reaching G. The information would get back to F only by going from G through E, C, A, B, and D. Obviously, this long, involved process can be time consuming and therefore expensive for the organization.

To avoid this lengthy process, Fayol recommended that in some situations a bridge, or gangplank, be used to allow F to go directly to G for information. This bridge is represented in Figure 11.9 by the dotted line connecting F and G. Managers should be careful in allowing the use of these organizational bridges, however, because although F might get the information from G more quickly and cheaply that way, individuals D, B, A, C, and E would be excluded from the communication channel, and their ignorance might prove more costly to the organization in the long run than would following the established chain of command. When managers allow the use of an organizational bridge, they must be extremely careful to inform all other appropriate individuals within the organization of any information received that way.

FIGURE 11.9

Sample organization chart showing that adhering to the chain of command is not advisable



CHALLENGE CASE SUMMARY

The Challenge Case at the beginning of the chapter generally describes how Sony is being organized to be more competitive. Concepts in this chapter would be useful to a manager such as Sir Howard Stringer, Sony's CEO, in meeting organizing challenges similar to those discussed in the case.

In contemplating how Sony should be organized, a manager such as Stringer can focus on answering several important questions. These questions should be aimed at establishing an orderly use of Sony's organizational resources. Because these resources represent an investment on which he must get a return, Stringer's questions should be geared toward gaining information that will be used to maximize this return. Overall, such questions should focus on determining the use of Sony's resources that will best accomplish its goals.

Some preliminary questions could be as follows:

1. What organizational objectives exist at Sony? For example, does Sony want to focus more on international markets or focus its attention on Japanese consumers? Does Sony want to grow or maintain its present size?
2. What plans does Sony have to accomplish these objectives? Is Sony going to open more offices in international locations? Are additional training programs being added to enable employees to understand how to best work in international locations?
3. What are the major tasks Sony must go through to establish profitable linkages between its different divisions? For example, how many steps are involved in developing a videogame based on one of its current movies?
4. What resources does Sony have to run its operations? Answers to this question focus on issues such as the number of employees, financial resources available, equipment being used, and so on.

To develop a sound organizing effort, a manager should take classical organizing theory into consideration. Stringer, for example, should examine Sony's structure and how it influences working relationships among all Sony employees. To develop an effective organizational structure, Stringer must analyze situational factors in the company, such as functions, products, geographic locations, customers, and processes involved in offering its products to customers.

Within the case there is information indicating that Stringer's organization structure for Sony is based primarily on products or services being offered. For example, two of the main areas at Sony are "music" and "videogames." In essence, Sony is arranging its resources to focus on its main product/service areas. A manager typically uses an organization chart to represent organization structure. Such a chart would not only allow Stringer

to see the lines of authority and responsibility at Sony but also to understand the broad working relationships among his employees.

In developing the most appropriate way to organize Sony employees, a manager can reflect on another major element in classical organizing theory—division of labor. Stringer could decide, for example, that instead of having one person do all the work involved in servicing a retail outlet such as Best Buy or Circuit City, the labor could be divided so that for each business customer one person would make the initial contact, another would assess the communication needs of the organization, and a third would explore the alternative ways that Sony could offer to meet those needs. In this way, employees could work more quickly and can specialize in one area of business customer relations, such as business needs assessment or meeting business customer needs.

In considering the appropriateness of division of labor at Sony, a manager could also consider creating a mechanism for enhancing coordination. In order to develop such a mechanism, Stringer must have a thorough understanding of how various Sony business processes occur so he can divide various tasks and maintain coordination within the various Sony divisions. In addition, a manager like Stringer must stress communication as a prerequisite for coordination. Without Sony employees continually communicating with one another, coordination will be virtually impossible. In taking action aimed at enhancing organizational coordination, Stringer must also continually plan for and take action toward maintaining such coordination.

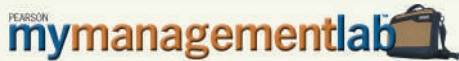
The last two major elements in classical organizing theory that a manager could reflect on are span of management and scalar relationships. Span of management focuses on the number of subordinates that managers in various roles at Sony can successfully supervise. In thinking about span of management, Stringer might explore several important situational factors, such as similarities among various Sony activities, the extent to which Sony workers being managed are physically separated, and the complexity of various Sony work activities.

For example, Stringer should consider that distributing CDs to consumer outlets can be fairly simple and that developing new videogames can be much more involved and complicated. Therefore, the span of management for workers doing the former job should generally be larger than the span of management for workers doing the latter job. Other important factors Stringer should consider in determining spans of management for various Sony managers are the amount of time managers must spend coordinating workers' activities and the amount of time managers spend planning. With all this information, Stringer should be quite capable of determining appropriate spans of management for his managers.

MANAGEMENT SKILL ACTIVITIES

This section is specially designed to help you develop organizing skill. An individual's organizing skill is based on an understanding of organizing concepts and the ability to apply those concepts in management situations. The following activities are designed both to heighten your understanding of organizing fundamentals and to develop your ability to apply those concepts in various management situations.

UNDERSTANDING ORGANIZING CONCEPTS



To check your understanding and to practice using the concepts in this chapter, go to www.mymanagementlab.com and explore the material associated with Chapter 11.

Know Key Terms

Understanding the following key terms is critical to your understanding of chapter material. Define each of these terms. Refer to the page(s) referenced after a term to check your definition or to gain further insight regarding the term.

organizing 250	informal structure 255	horizontal dimensioning 258
organizing skill 250	organization chart 255	department 258
bureaucracy 253	vertical dimensioning 255	departmentalizing 258
division of labor 253	scalar relationship 255	mechanistic structure 263
coordination 254	unity of command 255	organic structure 263
structure 254	span of management 255	
formal structure 255	Graicunas's formula 256	

Know How Management Concepts Relate

This section is comprised of activities that will further sharpen your understanding of management concepts. Answer essay questions as completely as possible. Also, remember that many additional true/false and multiple choice questions appear on-line at MyManagementLab.com to help you further refine your understanding of management concepts.

1. Describe the fundamental components of the organizing process. In your opinion, which of these components is most important? Which is least important? Explain.
2. Discuss the roles of vertical and horizontal differentiation as they relate to organizational structure. In your opinion, which of these concepts is most important for an effective organizational structure?
3. Compare and contrast the various types of departmentalization. In your opinion, which type of departmentalization is best?
4. Assume that you are the manager for Green Furniture, a company operating a number of furniture stores operating throughout the United States. Illustrate how the various types of departmentalization might apply to this company. In other words, discuss the various advantages and disadvantages of these types of departmentalization as they apply to Green Furniture.
5. Discuss the advantages and disadvantages associated with the concept of division of labor. How is the concept of span of management related to division of labor?

DEVELOPING MANAGEMENT SKILLS

Learning activities in this section are aimed at helping you develop your organizing skill. Learning activities include Exploring Your Management Skill: Parts 1 & 2, Experiential Exercise, Cases, and a VideoNet Exercise.

Exploring Your Management Skill: Part 1

Before studying this chapter, respond to the following questions regarding the type of advice that you would give to Sir Howard Stringer, Sony's CEO discussed in the Challenge Case. Then address the concerning organizing challenges that he presently faces within the company. You are not expected to

be an organizing expert at this point. Answering the questions now can help you focus on important points when you study the chapter. Also, answering the questions again after you study the chapter will give you an idea of how much you have learned.

Record your answers here or go to MyManagementLab.com. Recording your answers in MyManagementLab will allow you to get immediate results and see how your score compares to your classmates. If you answer the questions in the book, the answers are located in the Exploring Your Management Skill Appendix at the end of the book.

FOR EACH STATEMENT CIRCLE:

- “Y” if you would give the advice to Stringer.
- “N” if you would NOT give the advice to Stringer.
- “NI” if you have no idea whether you would give the advice to Stringer.

Mr. Stringer, in meeting your organizing challenges at Sony, you should . . .

Before After
Study Study

1. design organizing activities to be more closely related to controlling activities than planning activities.
Y, N, NI
2. concentrate more on clearly outlining an organization chart and less on how characteristics of people will affect the success of the chart.
Y, N, NI
3. design an organization chart to reflect authority, responsibility, and informal communication patterns.
Y, N, NI
4. know subordinates well because their makeup should influence the type of organization to be established.
Y, N, NI
5. create more and more specialization within jobs to make jobs more interesting, and thereby make workers more productive.
Y, N, NI
6. make sure that managers at lower levels of the organization have more individuals to supervise than those at upper levels of the organization.
Y, N, NI
7. decide to manage more organization members if the members are performing complex jobs than if performing simple jobs.
Y, N, NI
8. increase the height of an organization chart to help managers manage people performing jobs of high complexity.
Y, N, NI
9. emphasize organizing as a means of putting controls into action.
Y, N, NI
10. commonly establish situations in which organizations have more than one boss.
Y, N, NI
11. ensure that authority is properly scaled within the organization chart.
Y, N, NI
12. establish division of labor to increase worker efficiency and worker interest level in jobs.
Y, N, NI
13. focus on using primary organizational inputs such as money, people, raw materials, and plans.
Y, N, NI
14. encourage peer-level members of different departments to communicate directly with one another without going through their managers to enhance organizational efficiency.
Y, N, NI
15. use division of labor to minimize time wasted by organization members moving from location to location to perform different jobs.
Y, N, NI

Exploring Your Management Skill: Part 2

As you recall, you completed Exploring Your Management Skill before you started to study this chapter. Your responses gave you an idea of how much you initially knew about organizing and helped you focus on important points as you studied the chapter. Answer the Exploring Your Management Skill questions again now and compare your score to the first time you took it. This comparison will give you an idea of how much you have learned

from studying this chapter and pinpoint areas for further clarification before you start studying the next chapter. Record your answers within the text or online at MyManagementLab.com. Completing the survey at MyManagementLab.com will allow you to grade and compare your test scores automatically. If you complete the test in the book, look up answers in the Exploring Your Management Skill section at the end of the book.

Your Management Skills Portfolio

Your Management Skills Portfolio is a collection of activities especially designed to demonstrate your management knowledge and skill. By completing these activities at MyManagementLab.com, you will be able to print, complete with cover sheet, as many activities as you choose. Be sure to save your work. Taking your

printed portfolio to an employment interview could be helpful in obtaining a job.

The portfolio activity for this chapter is Organizing Skill: Examining Organization Charts. Examine the organization chart shown and then answer the questions that follow.

1. Is the organization chart of the Department of Health and Human Services based mainly on function, product, geography, or customer? Argue why this basis might be appropriate for its tasks.

2. Does this organization chart reflect a division of labor emphasis? Explain.

3. Give an illustration of how coordination is important to the success of the Department of Health and Human Services.

4. Present an argument discussing why the span of management for the Secretary is appropriate or inappropriate.

Experiential Exercises

1 Frogs of the World

Directions. Read the following scenario and then perform the listed activities. Your instructor may ask you to perform the activities as an individual or within groups. Follow all of your instructor's directions carefully.

Your company, Frogs of the World, has been manufacturing and selling plastic toy frogs for more than 15 years. Overall, the company has been successful and has become a market leader in the toy industry. Exploring the introduction of a new product, top management has just decided to begin manufacturing and selling a paper frog that hops. Mr. Hopper is the name of the new product. Your instructor will distribute design specifications for producing Mr. Hopper.

Top management has informed your group that it will immediately begin manufacturing Mr. Hopper. The department will only include people in your group. At some point, your instructor will appoint a leader for your group, give each member

the raw materials needed to produce Mr. Hopper, and instruct you to actually begin the production process.

Your team will be judged by the number and quality of the Mr. Hoppers that you produce.

2 You and Your Career

The preceding section discusses vertical dimensioning, an important aspect of organizing skill. Assume that you are interviewing with a company for a potential job. Given your major, the classes you have taken so far, and your general interests, how might the vertical characteristics of the organization with which you are interviewing influence your career prospects and projected overall job satisfaction if working within the organization? Should you find out the vertical characteristics of organization structure of a potential employer before you start working for the company? Why?

VideoNet Exercise

Organizational Structure and Design at Insomnia Cookies

Video Highlights

How does a small, quickly growing company develop and plan for a new structure that can expand with the company? Currently, the Insomnia Cookies headquarters consists of three to four people who oversee operations on 14 different college campuses. Each campus has its own manager and staff. Within the next year, Insomnia plans to open retail and delivery operations on six more campuses or locations. The

following year, they will continue to launch in new locations. More people will have to be added to the senior management team to accommodate this level of growth, but Insomnia Cookies is grappling with how and when to bring on new people to help run the company. CEO Seth Berkowitz is determined to keep the company from becoming top-heavy. Learn from the top management team at Insomnia as they take their own crash course on organizational structure and design.

Discussion Questions

1. What do you think the current organization chart at Insomnia Cookies looks like? Is this structure appropriate for its needs? Explain.
2. What forces have most influenced the structure of Insomnia Cookies?
3. Describe CEO and founder Seth Berkowitz's span of management.

Internet Activity

Go to the Insomnia Cookies Web site at www.insomniacookies.com. In reviewing the site, list three organizational issues top management must monitor to be successful in the future. How important will this be to company success? Why?

CASES

1 SONY ORGANIZES FOR SUCCESS

"Sony Organizes for Success" (p. 249) was written to help you better understand the organizing concepts contained in this chapter. Answer the following discussion questions about the Challenge Case to better understand how basic organization principles can be applied in a company such as Sony.

1. Does it seem reasonable that Stringer is attempting to better organize Sony to remain more competitive? Explain.
2. List five questions that Stringer should ask himself in exploring how best to organize Sony.
3. Explain why it would be important for Stringer to ask each of the questions you listed.

2 HOW 3M IS DEPARTMENTALIZED

Read the case and answer the questions that follow. Studying this case will help you better understand how concepts relating to organizational structure can be applied in a company such as 3M.

When the company known as 3M (a shorter way of saying Minnesota Mining and Manufacturing Company) began in 1902, the goal of the firm was to mine a heavy abrasive for grinding wheels. However, it discovered that the mine in Minnesota simply wasn't going to provide the firm with the necessary materials. After well over a decade, 3M did however finally succeed in producing sandpaper for the rapidly growing auto industry. By 1925, 3M was on its way to diversification with the invention of masking tape. And the rest is innovation history for this fast-paced company.⁴⁹

Today 3M operates in more than 65 countries, and the product offerings of 3M include widely held retail consumer items as well as other less popular products. For example, the average consumer has probably heard of Post-It Notes and Scotch Tape. But one may not be aware of FireDam Spray 200, 3M Oil Quality Monitoring System, Vikuiti Anti-Reflection Films, or Safe-tique Floor Matting. Its products cover consumer to aerospace and from manufacturing to drive-through restaurant technologies.

To make all this happen, 3M has about 75,000 employees throughout the world—fewer than half that number are in the United States. Additionally, of those 75,000 employees, almost 7,000 are in the roles of researchers. This keeps 3M at the forefront of new product development. According to

George W. Buckley, president and CEO of 3M, the company has strategically positioned itself in a very difficult economy. "3M," he said, "is a much stronger and more innovative enterprise than it was even a year ago."⁵⁰ Innovation is the cornerstone of 3M's success. To ensure 3M remains above the competition when it comes to new product development, it has invested heavily in research and development. Buckley stated that in 2009, 3M "maintained investments of more than a billion dollars in R&D at a time when many companies were forced to dramatically cut back."⁵¹

So how does a multibillion dollar, international company that is heavily diversified organize its businesses? Keeping in mind that operations are geographically dispersed and 35 companies exist under the 3M umbrella, it might appear to be a daunting task. However, 3M has taken a straightforward product departmentalization approach to the company.

All 35 business units are grouped together in six larger business segments based on the kinds of products manufactured. The six segments are consumer & office, display & graphics, electro & communications, health care, industrial & transportation, and safety, security, & protection services.

As an example, the brands most people are familiar with (Post-It, Scotch, Scotch-Brite, Command, Nexcare, and Filtrete) are in the consumer and office segment. However, those in the health care industry could readily identify 3M's full line of products related to oral care, drug delivery, and health information systems.

By grouping similar types of businesses by the products they manufacture, 3M is attempting to utilize resources carefully and strategically. In other words, researchers in the industrial and transportation business segment at 3M can focus their efforts on those innovations related to abrasives, adhesives, and filtration systems without having their attention diverted by developing products that are more consumer-focused. With this approach, concentrated research and development can take place within each of the six business segments.

Additionally, some resources can be shared. Functions like marketing and human resources cut across each business segment. As one might suspect, marketing a Post-It Note is completely different than marketing an industrial-grade abrasive. The ultimate buyer is different in both cases and the methods of promotion are unrelated. Whereas Post-It Notes might be advertised on TV, marketing a heavy abrasive to a manufacturing company may require an in-person sales call.

For Buckley, appropriate departmentalization is important, but he realizes that is just one facet of 3M's strategy. The company

must also foster innovation while maintaining profits. As Buckley pointed out, "There is no question that we at 3M are optimistic about our creative capabilities, confident in our operational strength, and reassured by our strong balance sheet."⁵²

QUESTIONS

1. Do you feel that a product departmentalization structure is best for 3M? Why or why not?

2. What challenges do you envision for Buckley in attempting to maintain his current organizational structure?
3. Based on 3M's departmentalization, do you think it has a very tall organizational chart or a very short organizational chart? Why?

Endnotes

1. Marc Gunther, "The Welshman, the Walkman, and the Salarymen," *Fortune*, June 12, 2006, 70–83. Matt Peckham, "3D For PlayStation 3 Games (But Not Blu-ray) Dropping Tomorrow," *PCWorld* (<http://www.pcworld.com>), accessed June 14, 2010.
2. A. Tackett, "Organizing and Organizations: An Introduction," *The Journal of the Operational Research Society* 53 (2002): 1401.
3. Douglas S. Sherwin, "Management of Objectives," *Harvard Business Review* (May/June 1976): 149–160. See also Lloyd Sandelands and Robert Drazin, "On the Language of Organization Theory," *Organizational Studies* 10 (1989): 457–77.
4. Tim Peakman, "Organizing the Organization," *Drug Discovery Today* 8 (2003): 673.
5. For a discussion emphasizing the importance of continually adapting organization structure, see Michael A. Vercspej, "When Change Becomes the Norm," *IndustryWeek*, March 16, 1992, 35–36.
6. Betsy Morris, "The GE Mystique," *Fortune*, March 6, 2006, 98–102. For an interesting analysis of General Electric's management development process, see Derek Lehmborg, W. Glenn Rowe, Roderick E. White, and John R. Phillips, "The GE Paradox: Competitive Advantage through Fungible Non-Firm-Specific Investment," *Journal of Management* 35, no. 5 (October 1, 2009): 1129–1153.
7. Saul W. Gellerman, "In Organizations, as in Architecture, Form Follows Function," *Organizational Dynamics* 18 (Winter 1990): 57–68.
8. For an example of how organizing principles can be applied to the educational arena, see A. Georges Romme, "Organizing Education by Drawing on Organization Studies," *Organization Studies* 24 (2003): 697.
9. Max Weber, *Theory of Social and Economic Organization*, trans. and ed. A. M. Henderson and Talcott Parsons (London: Oxford University Press, 1947); Thomas A. Stewart, "Get with the New Power Game," *Fortune*, January 13, 1997, 58–62.
10. Sandra T. Gray, "Fostering Leadership for the New Millennium," *Association Management* (January 1995): L78–L82.
11. David Courpasson and Stewart Clegg, "Dissolving the Iron Cages? Tocqueville, Michels, Bureaucracy and the Perpetuation of Elite Power," *Organization* 13 (2006): 319–343.
12. "GM Timeline," *MSNBC.com*, <http://www.msnbc.com>, accessed June 3, 2010; Ryan Chilcote and Steve Rothwell, "GM to Focus on Cutting Spending, Reducing Bureaucracy," *Bloomberg.com*, March 2, 2010, <http://www.bloomberg.com>.
13. For a review focusing on division of labor, see "Division of Labor Welcomed," *Business Insurance* 34, no. 10 (March 6, 2000): 8.
14. Jeff Lewis and Walter Knott, "Division of Labor: To Gain the Benefits of a Team, Each Member Can't Do Everything," *OnWall Street*, August 1, 2003, 1.
15. Example based on "Painting by Numbers: China's Art Business," *The Economist*, June 10, 2006, 77.
16. Carol Ann Dorn, "Einstein: Still No Equal," *Journal of Business Strategy* (November/December 1994): 20–23.
17. C. R. Walker and R. H. Guest, *The Man on the Assembly Line* (Cambridge, MA: Harvard University Press, 1952). For an excellent example of how technology can affect division of labor, see John P. Walsh, "Technological Change and the Division of Labor: The Case of Retail Meatcutters," *Work and Occupations* 16 (May 1989): 165–183.
18. For an interesting analysis of how such structural organizational factors as specialization influence organizational memory, see Marina Fiedler and Isabell Welp, "How Do Organizations Remember? The Influence of Organizational Structure on Organizational Memory," *Organization Studies* 31, no. 4 (2010): 381–407.
19. J. Mooney, "The Principles of Organization," in *Ideas and Issues in Public Administration*, ed. D. Waldo (New York: McGraw-Hill, 1953), 86. See also Peter Jackson, "Speed versus Heed," *CA Magazine* (November 1994): 56–57. For an application of the coordination principle, see Gail Karet and Tim Studdt, "Managing Biotech Requires Cross-Functional Coordination," *Research & Development* 43, no. 3 (March 2001): 12–17; see also Jody Gittel and Leigh Weiss, "Coordination Networks Within and Across Organizations: A Multi-Level Framework," *The Journal of Management Studies* 41 (2004): 127.
20. Bruce D. Sanders, "Making Work Groups Work," *Computerworld* 24, March 5, 1990, 85–89.
21. George D. Greenberg, "The Coordinating Roles of Management," *Midwest Review of Public Administration* 10 (1976): 66–76; Stephen Ackroyd, "How Organizations Act Together: Interorganizational Coordination in Theory and Practice," *Administrative Science Quarterly* 43, no. 1 (March 1998): 217–221.
22. Henry C. Metcalf and Lyndall F. Urwich, eds., *Dynamic Administration: The Collected Papers of Mary Parker Follett* (New York: Harper & Bros., 1942), 297–299; James F. Wolf, "The Legacy of Mary Parker Follett," *Bureaucrat Winter* (1988–1989): 53–57. For a recent discussion of the work of Mary Parker Follett, see David M. Boje and Grace Ann Rosile, "Where's the Power in Empowerment? Answers from Follett and Clegg," *Journal of Applied Behavioral Science* 37, no. 1 (March 2001): 90–117.
23. Lyndall Urwich, *Notes on the Theory of Organization* (New York: American Management Association, 1952). For a recent look at the implications of organizational structure on misbehavior, see Granville King III, "The Implications of an Organization's Structure on Whistleblowing," *Journal of Business Ethics* 20, no. 4 (July 1999): 315–326.
24. David Stamps, "Off the Charts," *Training* 34, no. 10 (October 1997): 77–83.
25. For an interesting discussion of a nontraditional organization structure, see David M. Lehmann, "Integrated Enterprise Management: A Look at the Functions, the Enterprise, and the Environment—Can You See the Difference?" *Hospital Material Management Quarterly* 19, no. 4 (May 1998): 22–26.
26. Eric J. Walton, "The Persistence of Bureaucracy: A Meta-Analysis of Weber's Model of Bureaucratic Control," *Organization Studies* 26, no. 4: 569–600.
27. S. R. Maheshwari, "Hierarchy: Key Principle of Organization," *Employment News* 21, no. 49 (March 8–14, 1997): 1–2.
28. Cass Bettenger, "The Nine Principles of War," *Bank Marketing* 21 (December 1989): 32–34; Donald C. Hambrick, "Corporate Coherence and the Top Management Team," *Strategy & Leadership* 25, no. 5 (September/October 1997): 24–29.
29. Leon McKenzie, "Supervision: Learning from Experience," *Health Care Supervisor* 8 (January 1990): 1–11. For a recent discussion of span of control, see "Span of Control vs. Span of Support," *Journal for Quality and Participation* 23, no. 4 (Fall 2000): 4.
30. For a look at the concept of span of management in public organizations, see Kenneth Meier and John Bohte, "Span of Control and Public Organizations: Implementing Gulick's Research Design," *Public Administration Review* 63 (2003): 61.
31. Harold Koontz, "Making Theory Operational: The Span of Management," *Journal of Management Studies* (October 1966): 229–43; see also John S. McClenahan, "Managing More People in the '90s," *IndustryWeek* 238 (March 1989): 30–38.
32. For an account of how Corning Inc. organized its knowledge workers into an effective research and development department that exists to this day, see W. Bernard Carlson and Stuart K. Sammis, "Revolution or Evolution? The Role of Knowledge and Organization in the Establishment and Growth of R & D at Corning," *Management & Organizational History* 4, no. 1 (2009): 37–65.
33. The U.S. space program offers an interesting study of the forms of work organization—both simple and complex—required to ultimately succeed in putting an astronaut on the moon. See Martin Parker, "Space Age Management," *Management & Organizational History* 4, no. 3 (2009): 317–332.
34. V. A. Graicunas, "Relationships in Organization," *Bulletin of International Management Institute* (March 1933): 183–187; L. F. Urwick, "V. A. Graicunas and the Span of Control," *Academy of Management Journal* 17 (June 1974): 349–354; Luther Gulick, Lyndall Urwick, James D. Mooney, Henri Fayol, et al. "Papers on the Science of Administration," *International Journal of Public Administration* 21, no. 2–4 (1998): 441–641.
35. For discussion about why managers should increase spans of management see Stephen R. Covey, "The Marketing Revolution," *Executive Excellence* 14, no. 3 (March 1997): 3–4.
36. John R. Brandt, "Middle Management: 'Where the Action Will Be,'" *IndustryWeek* (May 2, 1994): 30–36.
37. For a discussion of the benefits of tall structures, see Harold J. Leavitt, "Why Hierarchies Thrive," *Harvard Business Review* 81, no. 3 (2006): 96–102.
38. Philip R. Nienstedt, "Effectively Downsizing Management Structures," *Human Resources Planning* 12 (1989): 155–165.
39. Paul Glader, "It's Not Easy Being Lean," *Wall Street Journal*, June 19, 2006, B1.
40. Geary A. Rummler and Alan P. Brache, "Managing the White Space on the Organization Chart," *Supervision* (May 1991): 6–12.
41. Roderick E. White and Thomas A. Poynter, "Organizing for Worldwide Advantage," *Business Quarterly* 54 (Summer 1989): 84–89.

42. "EnergySolutions Announces New Organizational Structure," *Marketwire*, March 30, 2010, <http://www.marketwire.com>.
43. M. Lindgren and J. Packendorff, "What's New in New Forms of Organizing? On the Construction of Gender in Project-Based Work," *Journal of Management Studies* 43, no. 4 (2006): 841–866.
44. C. J. Middleton, "How to Set Up a Project Organization," *Harvard Business Review* (March/April 1967): 73. See also George J. Chambers, "The Individual in a Matrix Organization," *Project Management Journal* 20 (December 1989): 37–42, 50.
45. Y. K. Shetty and Howard M. Carlisle, "A Contingency Model of Organization Design," *California Management Review* 15 (1972): 38–45. For additional discussion of factors influencing formal structure, see Paul Dwyer, "Tearing Up Today's Organization Chart," *BusinessWeek*, November 18, 1994, 80–90.
46. For insights on how Ralph Larsen, CEO of Johnson & Johnson, views problems and how his view might influence the formal structure of his organization, see Brian Dumaine, "Is Big Still Good?" *Fortune*, April 30, 1992, 50–60.
47. An employee's *locus of control*—that is, those aspects that an individual perceives to be within his or her own ability to modify—figures strongly in work outcomes. For a study of the influences on work outcomes, see Steven M. Elias, "Restrictive Versus Promotive Control and Employee Work Outcomes: The Moderating Role of Locus of Control," *Journal of Management* 35, no. 2 (March 1, 2009): 369–392. Elias also provides another interesting study of employee perceptions during the restructuring of their organization's design. See "Employee Commitment in Times of Change: Assessing the Importance of Attitudes toward Organizational Change," *Journal of Management* 35, no. 1 (February 1, 2009): 37–55.
48. Henri Fayol, *General and Industrial Administration* (Belmont, CA: Pitman, 1949).
49. www.3M.com
50. 3M. (2009) *Annual Report*.
51. *Ibid.*
52. *Ibid.*

Exploring Your Management Skill Answers

Chapter 1

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. N
14. N

Chapter 2

1. Y
2. N
3. Y
4. N
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. N
12. Y
13. Y
14. N
15. Y

Chapter 3

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 4

1. Y
2. N
3. N
4. Y
5. Y
6. N
7. Y
8. N

9. N
10. N
11. Y
12. N
13. Y
14. N
15. N

Chapter 5

1. N
2. N
3. Y
4. N
5. Y
6. N
7. Y
8. Y
9. Y
10. N
11. N
12. Y
13. Y
14. Y
15. N

Chapter 6

1. N
2. Y
3. N
4. Y
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. N
12. Y
13. N
14. N
15. Y

Chapter 7

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 8

1. N
2. Y
3. N
4. N
5. N
6. N
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. N
14. Y
15. N

Chapter 9

1. N
2. N
3. Y
4. N
5. N
6. Y
7. Y
8. Y
9. N
10. N
11. Y
12. N
13. Y
14. N
15. Y

Chapter 10

1. Y
2. N
3. N
4. N
5. Y
6. N
7. Y
8. N
9. Y
10. N
11. N
12. N
13. N
14. N
15. Y

Chapter 11

1. N
2. Y
3. N
4. Y
5. N
6. N
7. N

8. Y
9. N
10. N
11. Y
12. N
13. N
14. Y
15. N

Chapter 12

1. Y
2. N
3. Y
4. N
5. Y
6. Y
7. N
8. N
9. N
10. Y
11. Y
12. N
13. Y
14. N
15. Y

Chapter 13

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. N
14. Y
15. N

Chapter 14

1. N
2. Y
3. N
4. N
5. Y
6. N
7. Y
8. Y
9. N
10. N
11. Y
12. N
13. Y
14. N
15. N

Chapter 15

1. N
2. Y
3. N
4. N
5. Y
6. Y
7. Y
8. Y
9. N
10. N
11. N
12. N
13. Y
14. Y
15. N

Chapter 16

1. N
2. N
3. N
4. Y
5. N
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. Y
14. Y
15. Y

Chapter 17

1. N
2. N
3. N
4. Y
5. Y
6. Y
7. N
8. Y
9. N
10. N
11. N
12. N
13. N
14. Y
15. N

Chapter 18

1. N
2. N
3. N
4. Y
5. Y
6. Y
7. N

8. Y
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 19

1. Y
2. N
3. N
4. N
5. Y
6. Y
7. Y
8. N
9. Y
10. N
11. Y
12. N
13. Y
14. Y
15. N

Chapter 20

1. N
2. N
3. N
4. Y
5. Y
6. N
7. N
8. N
9. Y
10. Y
11. Y
12. N
13. N
14. Y
15. N

Chapter 21

1. N
2. N
3. Y
4. Y
5. N
6. Y
7. Y
8. Y
9. N
10. Y
11. N
12. N
13. N
14. N
15. Y

Chapter 22

1. Y
2. N
3. N
4. Y
5. N
6. N
7. N
8. Y
9. N
10. N
11. N
12. Y
13. N
14. N
15. N